

IND AS 37 — PROVISIONS, CONTINGENT LIABILITIES

Recognition, Measurement & Red Flags

1. PROVISION vs CONTINGENT LIABILITY

Provision = present obligation (legal or constructive) from past event, probable outflow, reliable estimate. Contingent liability = possible obligation or present obligation that is not probable / not reliably measurable → disclose only (unless remote).

2. MEASUREMENT

Best estimate of expenditure required to settle the present obligation. Where the effect of time value is material, discount using a pre-tax rate that reflects current market assessments of time value of money and risks specific to the liability.

3. JOURNAL ENTRIES

Recognition: Dr Expense / Asset Cr Provision

Unwinding of discount: Dr Finance Cost Cr Provision

Utilisation: Dr Provision Cr Cash / Liability

Onerous contract: recognise provision for unavoidable costs exceeding economic benefits.

4. RED FLAGS

- Under-provisioning for warranties, litigation or onerous contracts
- Restructuring provisions recognised before a constructive obligation exists
- Contingent liabilities that actually meet the definition of a provision
- Discount rates that are not risk-adjusted or pre-tax
- Big-bath provisions timed with management changes

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi